



CAREER CLUSTER

Finance

CAREER PATHWAY

Accounting

INSTRUCTIONAL AREA

Financial Analysis

ACCOUNTING APPLICATIONS SERIES EVENT

PARTICIPANT INSTRUCTIONS

- The event will be presented to you through your reading of the 21st Century Skills, Performance Indicators and Event Situation. You will have up to 10 minutes to review this information and prepare your presentation. You may make notes to use during your presentation.
- You will have up to 10 minutes to make your presentation to the judge (you may have more than one judge).
- You will be evaluated on how well you demonstrate the 21st Century Skills and meet the performance indicators of this event.
- Turn in all of your notes and event materials when you have completed the event.

21st CENTURY SKILLS

- Critical Thinking – Reason effectively and use systems thinking.
- Problem Solving – Make judgments and decisions and solve problems.
- Communication – Communicate clearly.
- Creativity and Innovation – Show evidence of creativity.

PERFORMANCE INDICATORS

- Explain methods used to value inventory (e.g., FIFO, LIFO, average cost, etc.).
- Determine the cost/value of inventory.
- Calculate the cost of goods sold.
- Explain reasons for ethical dilemmas.
- Provide legitimate responses to inquiries.

EVENT SITUATION

You are to assume the role of the new accountant at DENE COMPANY, a company that molds materials into eyeglass frames. The company manager (judge) wants you to calculate ending inventory and cost of goods sold.

The company is reporting the following for the month of October:

		Units	Unit Cost	Total Cost
October 1	Inventory	200	\$ 5	\$ 1,000
October 12	Purchases	300	\$ 6	\$ 1,800
October 23	Purchases	500	\$ 7	\$ 3,500
October 31	Inventory	180		

The manager (judge) understands inventory costing can be calculated using several accepted methods but wants what is right for the company and proposes to vary the inventory costing methods annually to maximize profits.

The manager (judge) wants to discuss the inventory numbers and relative inventory costing. The manager (judge) has asked you to calculate the ending inventory and the cost of goods sold using a periodic inventory system under FIFO and LIFO. You will also calculate which costing method gives a higher ending inventory and explain why. The manager (judge) wants you to explain why a company is not allowed to change the inventory costing method regularly to benefit net income.

You will present the information to the manager (judge) in a role-play to take place in the manager's (judge's) office. The manager (judge) will begin the role-play by greeting you and asking to hear your ideas. After you have presented the information and have answered the manager's (judge's) questions, the manager (judge) will conclude the role-play by thanking you for your work.

JUDGE INSTRUCTIONS

DIRECTIONS, PROCEDURES AND JUDGE ROLE

In preparation for this event, you should review the following information with your event manager and other judges:

1. Participant Instructions, 21st Century Skills and Performance Indicators
2. Event Situation
3. Judge Role-Play Characterization
Allow the participants to present their ideas without interruption, unless you are asked to respond. Participants may conduct a slightly different type of meeting and/or discussion with you each time; however, it is important that the information you provide and the questions you ask be uniform for every participant.
4. Judge Evaluation Instructions and Judge Evaluation Form
Please use a critical and consistent eye in rating each participant.

JUDGE ROLE-PLAY CHARACTERIZATION

You are to assume the role of the manager at DENE COMPANY, a company that molds materials into eyeglass frames. You want the accountant (participant) to calculate ending inventory and cost of goods sold.

The company is reporting the following for the month of October:

		Units	Unit Cost	Total Cost
October 1	Inventory	200	\$ 5	\$ 1,000
October 12	Purchases	300	\$ 6	\$ 1,800
October 23	Purchases	500	\$ 7	\$ 3,500
October 31	Inventory	180		

You understand inventory costing can be calculated using several accepted methods but want what is right for the company and propose to vary the inventory costing methods annually to maximize profits.

You want to discuss the inventory numbers and relative inventory costing. You have asked the accountant (participant) to calculate the ending inventory and the cost of goods sold using a periodic inventory system under FIFO and LIFO. The accountant (participant) will also calculate which costing method gives a higher ending inventory and explain why. You want the accountant

(participant) to explain why a company is not allowed to change the inventory costing method regularly to benefit net income.

The participant will present information to you in a role-play to take place in your office. You will begin the role-play by greeting the participant and asking to hear about his/her ideas.

During the course of the role-play, you are to ask the following questions of each participant:

1. Why is it important to maintain inventory records?
2. What can affect inventory numbers besides purchases and sales?

Once the accountant (participant) has presented information and has answered your questions, you will conclude the role-play by thanking the accountant (participant) for the work.

You are not to make any comments after the event is over except to thank the participant.

SOLUTION

Beginning inventory (200 X \$5)		\$1,000
Purchases: Oct 12 (300 X \$6)	\$1,800	
Oct 23 (500 X \$7)	<u>3,500</u>	<u>5,300</u>
Cost of goods available for sale (1,000 units)		6,300
Less: Ending inventory (180 units)		
Cost of goods sold (820 units)		

FIFO

Cost of Goods Sold:

Date	Units	Unit Cost	Total Cost
10/1	200	\$ 5	\$1,000
10/12	300	6	1,800
10/23	320	7	2,240
	<u>820</u>		<u>\$5,040</u>

Ending Inventory:

Date	Units	Unit Cost	Total Cost
10/23	180	\$ 7	\$1,260

LIFO

Cost of Goods Sold:

Date	Units	Unit Cost	Total Cost
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10/23	500	\$7	\$3,500
10/12	300	6	1,800
10/1	20	5	100
	820		\$5,400

Ending Inventory:

Date	Units	Unit Cost	Total Cost
10/1	180	\$ 5	\$ 900

The FIFO method will produce the higher ending inventory because costs have been rising. Under this method, the earliest costs are assigned to cost of goods sold, and the latest costs remain in ending inventory. For DENE COMPANY, the ending inventory under FIFO is \$1,260 compared to \$900 under LIFO.

While the profession does permit choice, the most suitable method for determining inventory cost is that which results in charging against operations costs which most fairly match the sales revenue for the period. Companies cannot alter their choices regularly to suit their financial goals, as this would be considered a breach of ethics within the context of GAAP and IFRS.

EVALUATION INSTRUCTIONS

The participants are to be evaluated on their ability to perform the specific performance indicators stated on the cover sheet of this event and restated on the Judge's Evaluation Form. Although you may see other performance indicators demonstrated by the participants, those listed in the Performance Indicators section are the critical ones you are measuring for this particular event.

Evaluation Form Interpretation

The evaluation levels listed below and the evaluation rating procedures should be discussed thoroughly with your event director and the other judges to ensure complete and common understanding for judging consistency.

Level of Evaluation	Interpretation Level
Exceeds Expectations	Participant demonstrated the performance indicator in an extremely professional manner; greatly exceeds business standards; would rank in the top 10% of business personnel performing this performance indicator.
Meets Expectations	Participant demonstrated the performance indicator in an acceptable and effective manner; meets at least minimal business standards; there would be no need for additional formalized training at this time; would rank in the 70-89 th percentile of business personnel performing this performance indicator.
Below Expectations	Participant demonstrated the performance indicator with limited effectiveness; performance generally fell below minimal business standards; additional training would be required to improve knowledge, attitude and/or skills; would rank in the 50-69 th percentile of business personnel performing this performance indicator.
Little/No Value	Participant demonstrated the performance indicator with little or no effectiveness; a great deal of formal training would be needed immediately; perhaps this person should seek other employment; would rank in the 0-49 th percentile of business personnel performing this performance indicator.



ACCOUNTING APPLICATIONS SERIES 2023

JUDGE'S EVALUATION FORM DISTRICT EVENT 1

Participant: _____

INSTRUCTIONAL AREA: Financial Analysis

ID Number: _____

Did the participant:		Little/No Value	Below Expectations	Meets Expectations	Exceeds Expectations	Judged Score
PERFORMANCE INDICATORS						
1.	Explain methods used to value inventory?	0-1-2-3-4	5-6-7-8	9-10-11	12-13-14	
2.	Determine the cost/value of inventory?	0-1-2-3-4	5-6-7-8	9-10-11	12-13-14	
3.	Calculate the cost of goods sold?	0-1-2-3-4	5-6-7-8	9-10-11	12-13-14	
4.	Explain reasons for ethical dilemmas?	0-1-2-3-4	5-6-7-8	9-10-11	12-13-14	
5.	Provide legitimate responses to inquiries?	0-1-2-3-4	5-6-7-8	9-10-11	12-13-14	
21st CENTURY SKILLS						
6.	Reason effectively and use systems thinking?	0-1	2-3	4	5-6	
7.	Make judgments and decisions, and solve problems?	0-1	2-3	4	5-6	
8.	Communicate clearly?	0-1	2-3	4	5-6	
9.	Show evidence of creativity?	0-1	2-3	4	5-6	
10.	Overall impression and responses to the judge's questions	0-1	2-3	4	5-6	
TOTAL SCORE						